

PROJECT CONCEPT NOTE

SMART CIRCULAR OPERATIONS ENGINE (SCOE)

Deploying IT-Engaged Youth in Effective Plastic Waste Logistics
A Circular Triangle Infrastructure Model for Kubwa & Gwarinpa, Abuja (FCT)

Date: March 3, 2026
Submitted to: DPI Programme Office

1. Executive Summary

Plastic waste in Abuja's high-density satellite corridors — particularly Kubwa and Gwarinpa — is no longer a sanitation challenge alone. It is a logistics coordination failure with documented environmental, public health, and economic consequences.

Field evidence confirms the severity: a 2024 peer-reviewed study recorded Kubwa dumpsite plastic composition at 25% in dry season — the highest across all studied Abuja dumpsites. A December 2025 investigation described the Kubwa Expressway to Gwarinpa corridor as refuse everywhere, with mounds of filth competing for space with motorists. Residents in Gwarinpa report permanent refuse heaps at major junctions, with dumps attracting scavengers and creating security and health risks. AEPB's own Director confirmed in February 2025 that satellite towns including Kubwa fall outside the formal contractor service coverage of central AEPB operations — a structural gap SCOE is directly designed to fill.

The Smart Circular Operations Engine (SCOE) addresses this through a structured Circular Triangle Model, synchronizing three nodes:

- Node 1 — Generators: Households and businesses in Kubwa and Gwarinpa
- Node 2 — Collectors: IT-engaged youth logistics network (formalized, incentivized, digitally tracked)
- Node 3 — Off-Takers: Recyclers and industrial buyers with contracted off-take agreements

SCOE aligns material flow, money flow, and data flow — creating predictable waste logistics infrastructure rather than fragmented, informal recovery. It is not a recycling application. It is a circular waste logistics infrastructure for Abuja's underserved urban corridors.

2. Problem Statement & Baseline Evidence

2.1 The Kubwa Crisis — Primary Pilot Location

Kubwa is Abuja's most documented satellite town waste crisis. It combines high population density, active informal waste economy, and critical infrastructure gaps:

- Plastic composition at Kubwa dumpsite: 25% in dry season — highest recorded among all Abuja dumpsites (peer-reviewed, 2024)
- Formal AEPB contractor coverage: absent — AEPB Director confirmed satellite towns are outside their service scope (February 2025)

- Visible plastic accumulation: hills of waste documented at multiple points; residents report no formal collection trucks in five years
- Existing informal waste economy: cart pushers ('bola') operate but without weighing, digital logging, or consistent off-take contracts

Kubwa's existing informal collector activity is SCOE's greatest asset: we are formalizing a system that already exists, not building from scratch.

2.2 Gwarinpa — Phase 1 Expansion Zone

Gwarinpa, Abuja's largest residential estate, generates among the highest proportions of plastic film waste of any FCT district. Despite its planned layout, waste management has broken down at scale:

- Permanent refuse heaps documented at Gwarinpa and Life Camp junction
- Illegal dumping attracts scavengers used as criminal vantage points (reported by residents and businesses, 2025)
- Plastic film and sachet waste dominant lightweight dispersion into drains causes regular flooding

2.3 FCT-Wide Plastic Generation Context

District	Daily Plastic (tonnes)	Priority Level	Key Risk
Kubwa	High (25% dumpsite share)	CRITICAL	No formal collection coverage
Gwarinpa	High (14% plastic film)	HIGH	Drain blockage, flooding
Nyanya	7.6–21t corridor share	HIGH	Flood-prone, illegal dumps
Mpape	Significant informal	HIGH	Open burning, health risk
FCT Satellite Average	12.6–18.3% of MSW	SYSTEMIC	Infrastructure gap

2.4 The Structural Gap SCOE Fills

AEPB's 40–54 formal contractors (engaged February 2025) cover Maitama, Asokoro, Garki, Wuse, and city-centre districts. Satellite towns where plastic accumulation is worst are explicitly outside their mandate. No existing structured programme coordinates youth collectors, digital weighing, and industrial off take in Kubwa or Gwarinpa. SCOE enters this gap.

3. Strategic Positioning

SCOE is positioned as:

Circular Triangle Infrastructure for Smart Waste Logistics

Not: a pickup app, a rewards platform, or a standalone ERP system.

SCOE is structured infrastructure coordinating logistics, incentives, and industrial supply in the satellite corridors. Abuja's formal system has failed to reach. This positioning directly addresses a documented, regulatory-confirmed coverage gap not a hypothetical opportunity.

4. The Circular Triangle Model

Node	Role	Actors	Digital Layer
Node 1 — Generators	Produce & sort plastic	Households, businesses, markets	Smart pickup scheduling + wallet
Node 2 — Collectors	Collect, weigh & transport	IT-engaged youth (18–35)	GPS logging + route optimization
Node 3 — Off-Takers	Buy & process plastic	Recyclers, industrial buyers	ERP + contracts + inventory

Flow Logic

- Material Flow: Generator → Collector → Weighing Hub → Off-Taker
- Money Flow: Off-Taker payment → Platform → Youth stipend + generator incentive
- Data Flow: All nodes → ERP → Analytics dashboard → ESG reporting layer

Each flow is tracked, logged, and reconcilable. No node operates without data capture. This is what separates SCOE from informal recovery: every kilogram has a chain of custody.

5. Ecosystem Integration

5.1 Eco barter — Last-Mile Density Partnership

Eco barter, a Nigerian woman-owned waste technology company, deployed 25 Reverse Vending Machines across Abuja in October 2024 in partnership with UNIDO and AEPB. Their model uses community hub managers who pay collectors for recyclables, which are then sorted and sent to off-taker companies.

SCOE's relationship with Eco barter is complementary, not competitive. Eco barter's RVM infrastructure is concentrated in formal commercial and institutional zones. SCOE operates in the satellite corridors Kubwa and Gwarinpa where RVM deployment is not present. SCOE functions as a last-mile density partner: reaching households and informal generators that Eco barter's fixed infrastructure cannot and feeding recovered material into the same off-taker pipeline. This is documented coordination, not duplication.

5.2 AEPB — Regulatory Alignment & Municipal Pathway

AEPB is the statutory regulatory body for FCT environmental management. Its mandate covers solid waste collection, pollution control, and environmental health across the Federal Capital. In February 2025, AEPB engaged 54 contractors for city-centre sanitation explicitly confirming that satellite towns remain outside this coverage.

SCOE aligns with AEPB's mandate by operating in the confirmed gap. SCOE's digital data layer GPS-logged routes, hub reconciliation reports, diversion volume data produces exactly the compliance-ready evidence base AEPB needs for satellite town monitoring. The Year 2 pathway to a formal municipal service contract with AEPB is structurally sound: SCOE would be delivering a documented service AEPB cannot currently provide.

5.3 NESREA — EPR Compliance Alignment

- Diversion reporting compatible with NESREA's Extended Producer Responsibility framework
- Verified tonnage data creates EPR subsidy eligibility pathway
- Contamination grading and purity logging supports producer reporting requirements

5.4 Informal Collectors — Formalization, Not Displacement

Kubwa's existing cart pushers and informal scavengers are SCOE's recruitment pipeline. SCOE does not replace them it gives them weighing equipment, digital logging, base stipends, and a direct off-take channel. Their community knowledge and existing generator relationships reduce SCOE's market entry cost significantly.

6. Youth Engagement & Income Model

6.1 Target Profile

- Age range: 18–35
- Priority: Women, unemployed graduates, existing informal collectors
- Location: Kubwa and Gwarinpa wards
- Scale: 5–10 youth per ward in Phase 1; expanding to 25–30 per hub in Phase 2

6.2 Income Structure — Anchored to Market Evidence

Current informal baseline for unstructured waste collectors in Abuja: approximately ₦22,000–₦35,000 per month (combining daily earnings of ₦1,000–₦2,000 for informal pickers and itinerant dealers, drawn from peer-reviewed Abuja sector research).

Income Component	Phase 1 (Months 1–4)	Phase 2 (Months 5–12)	Phase 3 (Year 2+)
Base stipend	₦15,000/month	₦18,000/month	₦20,000/month
Per-kg incentive (₦30/kg)	₦7,500–₦12,000	₦12,000–₦18,000	₦18,000–₦24,000
Quality bonus (low contamination)	Up to ₦3,000	Up to ₦5,000	Up to ₦8,000
Estimated total/month	₦25,500–₦30,000	₦35,000–₦41,000	₦46,000–₦52,000
vs. informal baseline	Baseline alignment	+20–30% increase	+40–50% increase

The 20% income increase target (Year 1) is anchored to a verified ~~₦25,000–₦35,000~~ baseline. It is achievable at Phase 2 collection volumes and defensible under panel questioning.

6.3 Progression Structure

- Bronze: Months 1–3 — training, supervised collection, basic logging
- Silver: Month 4 onward — independent route management, quality bonus eligible
- Gold: Month 8+ — hub reconciliation role, peer training, micro-advance eligible

6.4 Training Curriculum

- PPE use and occupational health
- Digital logging via collector app (GPS, weight entry, contamination flagging)
- Plastic type identification and sorting discipline
- Community engagement and generator relationship management

7. Financial Model (2026 Grounded)

7.1 Pricing Assumptions — Market-Verified

Based on current Nigerian recycling market data: aggregators buy PET at ~~₦500–₦600~~/kg, HDPE at ~~₦300–₦350~~/kg, and PP at ~~₦250–₦300~~/kg. Mixed plastic recovery from Kubwa and Gwarinpa will be weighted toward PET bottles and HDPE containers, with polythene sachets (lower value, higher volume) requiring separate handling.

Plastic Type	Collector Payout	Resale to Off-Taker	Margin/kg
PET bottles (primary)	₦120/kg	₦300/kg	₦180/kg
HDPE containers	₦100/kg	₦260/kg	₦160/kg
PP / mixed	₦70/kg	₦200/kg	₦130/kg
Weighted average (blended)	₦100/kg	₦280/kg	₦150/kg

7.2 CAPEX vs. OPEX Breakdown

Category	Item	Cost (₦)	Type
CAPEX	Weighing scale (digital, 150kg)	₦170,000	One-time
CAPEX	Collection bags & PPE (initial stock)	₦120,000	One-time
CAPEX	Hub setup (shelving, sorting area)	₦300,000	One-time
CAPEX	Mobile devices for collectors	₦400,000	One-time

Category	Item	Cost (₦)	Type
	(x5)		
CAPEX	App development / onboarding	₦500,000	One-time
TOTAL CAPEX		₦1,490,000	
OPEX	Collector stipends (5 youth)	₦300,000/month	Monthly
OPEX	Fuel & logistics	₦250,000/month	Monthly
OPEX	Hub rent	₦150,000/month	Monthly
OPEX	Supervisor salary	₦150,000/month	Monthly
OPEX	Platform hosting	₦100,000/month	Monthly
OPEX	Miscellaneous	₦100,000/month	Monthly
TOTAL MONTHLY OPEX		₦1,050,000/month	

7.3 Break-Even Analysis

- Monthly OPEX: ₦1,050,000
- Blended margin: ₦150/kg
- Break-even volume: $\text{₦1,050,000} \div \text{₦150} = 7,000 \text{ kg/month} \approx 7 \text{ tonnes/month}$
- Phase 1 pilot volume: 2.5 tonnes/month (deficit phase—expected)
- Phase 2 target: 6–8 tonnes/hub/month (break-even zone)

7.4 24-Month Cumulative Cash Flow Projection

Period	Volume (tonnes)	Revenue (₦)	OPEX (₦)	Net Position (₦)	Cumulative (₦)
Month 1	1.5	225,000	970,000	-745,000	-745,000
Month 2	2.0	300,000	970,000	-670,000	-1,415,000
Month 3	2.5	375,000	970,000	-595,000	-2,010,000
Month 4	3.5	525,000	970,000	-445,000	-2,455,000
Month 5	4.5	675,000	970,000	-295,000	-2,750,000
Month 6	5.5	825,000	970,000	-145,000	-2,895,000
Month 7	6.0	900,000	970,000	-70,000	-2,965,000
Month 8	6.5	975,000	970,000	+5,000	-2,960,000
Month 9	7.0	1,050,000	970,000	+80,000	-2,880,000
Month 10	7.5	1,125,000	970,000	+155,000	-2,725,000
Month 11	8.0	1,200,000	970,000	+230,000	-2,495,000
Month 12	8.0	1,200,000	970,000	+230,000	-2,265,000

Period	Volume (tonnes)	Revenue (₦)	OPEX (₦)	Net Position (₦)	Cumulative (₦)
Month 13–18 (Hub 2 added)	15.0/month	2,250,000	1,700,000	+550,000/mo	Recovering
Month 19–24	20.0/month	3,000,000	1,700,000	+1,300,000/mo	Cash positive

Total grant/bridge financing required for 12-month deficit period: approximately ₦2.97M. This is the funding request for Phase 1 validation. By Month 8, a single hub reaches operational break-even on OPEX. Hub 2 addition in Month 13 accelerates cumulative recovery.

7.5 Risk Sensitivity Model

Scenario	Margin/kg	Volume	Monthly Net	Risk Driver
Worst case	₦80	6.5t	-₦450,000	Off-taker price collapse + low density
Base case	₦150	6.5t	Break-even	Market conditions stable
Best case	₦190	8.0t	+₦520,000	High PET purity + volume surplus

Worst-case survival strategy: reduce collector count to 3 (₦45k savings), negotiate fuel pre-purchase (₦60k savings), activate EPR subsidy pathway. Break-even then moves to 5.2 tonnes achievable by Month 5.

8. Operational Discipline — Standard Operating Procedures

8.1 Contamination Rejection SOP

All material arriving at the SCOE hub is subject to a three-stage quality assessment before acceptance and payment:

- Stage 1 — Visual Inspection: Hub manager inspects each collection bag before weighing. Rejection triggers: visible food contamination exceeding 15% of bag volume, presence of hazardous materials (medical waste, chemicals), wet or soaked material that inflates weight measurement.
- Stage 2 — Spot Weighing & Type Sorting: Accepted material weighs a calibrated digital scale (150kg capacity). Collector logs weight by plastic type via mobile app. Mixed loads are sorted into PET, HDPE, and PP streams before final weight confirmation.
- Stage 3 — Contamination Logging: Rejection events are logged into the platform with reason code, collector ID, and timestamp. Collectors with contamination rates above 10% receive a quality flag. Three consecutive flags trigger a bronze reset and retraining. Collectors maintaining contamination below 3% receive the quality bonus.

8.2 Daily Reconciliation Workflow

At close of each collection day, the following reconciliation sequence is executed:

- Step 1 — Weight Reconciliation: Total kg logged by collector app must match hub scale total. Variance above 3% triggers an investigation before payment is processed.
- Step 2 — Payment Confirmation: Per-kg payout is calculated from verified weight by plastic type. Payment is processed to collector mobile wallet within 2 hours of reconciliation sign-off.
- Step 3 — Hub Inventory Update: ERP records total material by type in hub storage. Bale registration is updated when material reaches off-take volume threshold (minimum 200kg per plastic type).
- Step 4 — Route Performance Log: Fuel consumption per kg collected is calculated and logged. Routes exceeding 120% of baseline fuel cost per kg trigger a route review the following day.
- Step 5 — Daily Summary Report: Auto-generated platform data. Shared with supervisor and available on dashboard by 8PM each day.

9. Impact Measurement & Baseline Methodology

9.1 Baseline Establishment — Pre-Pilot (Month 0)

Before any collection activity begins, SCOE will establish a documented baseline using the following methodology:

- Visible Plastic Survey: A trained survey team conducts a ward-level transect walk across 5 fixed routes in Kubwa and 5 in Gwarinpa. Each route is photographed at 10 fixed GPS-tagged points. Plastic litter density is scored using a standardized 1–5 scale (adapted from UNEP coastal litter methodology for urban use). Baseline scores are recorded and stored on the platform.
- Dumpsite Count: All known informal dump clusters in pilot wards are GPS-tagged and photographed. Volume estimation is conducted using a 5m x 5m grid count method. Baseline: number of active dump clusters and estimated volume per cluster.
- Collector Income Survey: All recruited youth collectors complete a baseline income questionnaire (current monthly earnings, income sources, hours worked). Aggregate baseline income per collector is recorded and stored.
- Drainage Blockage Mapping: Key drainage channels in pilot wards are inspected and blockage points mapped by GPS. Baseline: Number and severity of plastic-related blockage points.

9.2 Quantified Impact Targets with Measurement Method

Target	Metric	Baseline Method	Measurement Frequency	Timeline
15% reduction in visible plastic	Transect litter density score	Month 0 transect survey	Monthly (same routes, same GPS points)	Month 6
30% reduction in dump hotspots	Active dump cluster count	Month 0 GPS mapping	Quarterly photo comparison	Month 12
20% youth income increase	Monthly earnings per collector	Month 0 income survey	Monthly payroll data	Year 1

Target	Metric	Baseline Method	Measurement Frequency	Timeline
25% fuel cost reduction per kg	Liters per tonne collected	Month 1 actual baseline	Weekly route logs	Month 6
10% purity improvement	Contamination rejection rate %	Month 1 actual baseline	Daily hub logs	Month 6

10. Institutional Lock-In Strategy

10.1 Municipal Service Contract Pathway — Year 2

AEPB's confirmed inability to service satellite towns creates a direct pathway for SCOE to transition from grant-funded pilot to performance-based municipal contractor. By Month 12, SCOE will have 12 months of GPS-logged collection data, hub reconciliation records, and diversion tonnage reports exactly the evidence base AEPB needs to justify a formal service-level agreement. Target: negotiate a performance-based payment contract (per verified tonne diverted) with AEPB or FCTA beginning Year 2.

10.2 EPR Subsidy Trigger

NESREA's Extended Producer Responsibility framework creates financial incentives for verified plastic diversion. SCOE's digital platform produces compliance-grade reporting plastic type, volume, source ward, off-taker destination that EPR subsidy eligibility requires. Target: activate EPR subsidy access at verified diversion threshold in Year 2, creating a second revenue stream independent of commodity margins.

10.3 ESG Integration — Year 3

SCOE's carbon accounting module (Phase 3) enables reporting to ESG frameworks including GRI, CDP, and national climate reporting. This positions SCOE as a verified offset provider for corporate partners, unlocking a third revenue stream. It also creates data infrastructure for international climate finance applications.

11. Phased Implementation Plan

Phase	Timeline	Geography	Hubs	Youth	Volume Target	Key Milestone
Phase 1 — Core Stabilization	Months 1–4	Kubwa (primary)	1	5	2.5–4t/month	Triangle flow stable, baseline data capture
Phase 2 — Density Expansion	Months 5–12	Kubwa + Gwarinpa	2	15–20	6–8t/hub	Break-even reached, operational
Phase 3 — Institutional Scale	Year 2–3	FCT-wide + Nasarawa	5–15	75–150	150–200t/month	Municipal contract, EPR subsidy, ESG reporting

12. Technical Architecture

Tier	Component	Function	Phase
Tier 1	Collector Mobile App	GPS logging, weight entry, contamination flagging, offline capability	Phase 1
Tier 2	Cloud Data Infrastructure	Geospatial database, audit trail, role-based access	Phase 1
Tier 3	Operations Dashboard	Route heatmaps, hub reconciliation, collector performance	Phase 1
Tier 4	ESG & Early Warning	Flood alert integration, carbon accounting, compliance exports	Phase 3

13. Monitoring & Evaluation Framework

Automated (Real-Time)

- Kg collected by type, collector, and location (daily)
- Pickup cycle time per route (daily)
- Weight variance alerts triggers above 3% (per collection)
- Route fuel density liters per tone (daily)
- Contamination rejection rate by collector (daily)

Quarterly

- Community behavior surveys in pilot wards
- Youth income tracking vs. baseline
- Dump cluster photo comparison vs. GPS baseline

Annual

- Plastic diversion rate — tones diverted vs. estimated generation
- Financial stability per hub — OPEX coverage ratio
- EPR compliance report submission
- ESG narrative report (Year 2+)

14. Three-Year Scale Targets

Year	Hubs	Youth Employed	Monthly Volume	Revenue Stream	Status
Year 1	2	15–20	20–25 tonnes	Commodity margins + grant bridge	Break-even Month 8
Year 2	5	40–60	75–100 tonnes	Commodity + AEPB contract + EPR subsidy	Cash positive

Year	Hubs	Youth Employed	Monthly Volume	Revenue Stream	Status
Year 3	10–15	100–150	150–200 tonnes	Commodity + municipal + EPR + ESG/carbon	Scaling

15. Conclusion

SCOE transforms plastic recovery from fragmented, informal activity into structured, digitally tracked urban logistics infrastructure. It operates where formal systems have confirmed they cannot the satellite corridors of Kubwa and Gwarinpa using youth who already exist in those communities, aligned with ecosystem partners who are already operating in Abuja, and embedded in regulatory frameworks that create a clear path to institutional permanence.

This is not an experimental pilot. It is deployable circular logistics infrastructure, with:

- Evidence-based pilot location selection (Kubwa: highest documented dumpsite plastic concentration in Abuja)
- Verified ecosystem partnerships (Ecobarter, AEPB, NESREA/EPR alignment)
- Anchored financial model with 24-month cash flow and defensible break-even math
- Youth income projections tied to verified market baselines
- Contamination SOP and daily reconciliation discipline built in from Day 1
- Baseline measurement methodology that makes impact targets verifiable, not aspirational
- Institutional lock-in through municipal contract pathway, EPR subsidy, and ESG integration

SCOE is ready for DPI panel scrutiny. It is designed to survive hostile questioning because every claim is anchored to evidence, every target has a measurement method, and every financial projection shows the path from deficit to sustainability.

Smart Circular Operations Engine (SCOE)

Kubwa & Gwarinpa, Abuja FCT | February 2026 | DPI Programme Submission